

Informal Sector in India

Competition or Collaboration?

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Reviewing the vast literature on the informal sector in India, it is seen that competition, or lack of it, happens to be a crucial issue in analysing firm structure, market structure, and firm dynamics. The probable role of intra- and extra-firm collaboration in this context is largely under-researched and is explored in this article.

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It is now well-accepted that the long-awaited Lewisian transformation (Lewis 1954) from traditional to modern economy in the global South has hardly taken place (Sanyal 2007). A very large segment of the population has been unable to capture the benefits of economic growth by being excluded from the formal capitalistic production-distribution processes (Moser 1978; Bhaduri 2017). And as a consequence, a large share of the workforce has been forced to depend on non-farm informal economic activities. The informal sector has thus become a crucial issue from the perspective of the development of the global South (ILO 2018). Earlier, it was thought that this sector would either wither away with growth or transform into a vibrant segment of emerging capitalism in the global South (La Porta and Shleifer 2014). But surprisingly, empirical evidence has revealed that instead of withering away, the informal sector is expanding along with economic growth in developing countries like India (Raj et al 2020; Bhattacharya and Kesar 2018). Hence, researchers and policymakers have been forced to take a serious interest in the non-farm informal sector.

There is vast global literature on the informal sector (Portes et al 1989; Ban-gasser 2000). Lately, the informal sector

of India is also being studied rigorously (Marjit and Kar 2011; Breman 2013; Chakrabarti 2016; Raj and Sen 2016).

Major writings have emerged on the extent and processes of inclusion or exclusion of this sector, its relationship with other sectors, its potential for growth, and possibilities of transformation (Sanyal 2007; Harriss-White and Sinha 2007; Marjit and Kar 2011; Gunther and Launov 2012; Breman 2013; Chakrabarti 2016; Raj and Sen 2016; Bhattacharya and Kesar 2018).

On the other hand, some studies have focused on intra-sectoral issues such as firm structure, market structure, and firm dynamics (Khasnabis and Nag 2001; Kundu and Chakrabarti 2008). Although, recently, many researchers have focused on the above-mentioned sectoral and intra-sectoral (including firm-specific) issues, most of the major studies have been conducted using secondary data. Research on Indian informal firms and their market-related aspects based on primary data is not very large (Mukherjee et al 2019; Majeed and Swalehin 2021). Consequently, the issues pertaining to firm structure, market structure, and firm dynamics in the informal sector focusing on primary data constitute an important area of research, especially in the context of India.

To conduct such a study, we need to have an in-depth understanding of the existing general literature with a focus on India. And for that, a detailed review of contemporary writings is a necessity. It could also significantly add to the ongoing discourse. Hence, we take up such a review for the three specific aspects:

firm structure, market structure, and firm dynamics.

Firm Structure

The received positions: In this section, we focus on the production process undertaken by the informal firms, and in analysing this, we particularly highlight how the different agents participate and interact among themselves. Essentially, we try to understand the labour process focusing on the relationship between the owner, manager, skilled and unskilled labour, hired and household labour, and so on; we try to understand how jobs are distributed among these agents, who makes the decision regarding the production and labour processes, who appropriates the surplus, and how this surplus is distributed. Thus, our fundamental question is whether there is competition among the different agents participating in the production process within the firm (as in the neoclassical and institutional conception of a firm),¹ or there are elements of exploitation by the owner of a variety of labour (as per Marxian conception),² or there is a significant presence of (intra-firm) collaboration.³

However, if we look at the literature, we find that most of the writings, especially the mainstream ones, are not very explicit about the above-mentioned questions. Still, if we read the writings carefully from our above-stated perspective, we could divide it into the following three groups—the informal sector consisting of (i) only micro-capitalistic firms, (ii) non-capitalistic enterprises, and (iii) both these types of firms.

Micro-capitalistic firms: According to mainstream economists, an informal firm acts as a micro-capitalist; the owner employs a variety of labour, purchases a variety of inputs, including machines from the market, and thereby maximises profit for reinvestment. On the other hand, the input suppliers, especially the labourers, bargain for the highest possible return (Marjit and Kar 2011). Thus, all the agents try to maximise their self-interest through participation in a firm. Even if the informal firm is a subcontractor of a big capitalist firm, as identified in the global value chain literature, it behaves

like a micro-capitalist and pursues constrained profit maximisation (Ranis and Stewart 1999; Chen 2007).

Non-capitalistic enterprises: Contrarily, a group of Marxists and structuralists considers an informal sector firm as a site of petty commodity production (PCP) or simple commodity reproduction operating within a market economy and feeding the process of modern capitalistic accumulation (Moser 1978; Gerry 1987; Breman 2013). These researchers differentiate between the employer and employee and also other input suppliers, but it is argued that there is no intra-firm exploitation. They mostly consider these firms to be pre-capitalistic, in the sense that some firms would evolve as capitalistic, while others would experience involution, and their owners would transform into wage workers over time (Moser 1978; Gerry 1987).

On the other hand, a new brand of political economy criticises this historicist approach (Sanyal 2007; Chatterjee 2008; Sanyal and Bhattacharya 2009) and argues that this above-mentioned heterodox proposition is not a contemporary developing country phenomenon. On the contrary, these researchers opine that informal firms emerge, proliferate, and persist despite capitalistic expansion. In fact, according to them, the emergence of the new informal sector is an outcome

of a process called accumulation by dispossession (Harvey 2003). A large section of these new informal firms and the traditional ones constitutes a need economy where the firms undertake cycles of production (through participation in the market) for the satisfaction of needs for survival. It consists mostly of the self-employed. Even if few firms hire labour, there is almost no capital-labour separation, despite the fact that the owner owns the means of production and the worker does not. Moreover, it is argued that though, for most firms, there is no surplus, for some, there is surplus, and it is distributed among the owners and the workers appropriately, both having the objective of satisfying needs.

Distinguishing between the formal and informal sectors in terms of corporate and non-corporate capital, Chatterjee (2008) also pointed out that profit is not irrelevant in the informal sector, but this sector is dominated by the logic of need. Besides, according to this school, a very large section of the informal sector, although participating in the market, is not functionally related to the circuit of modern capital and feeding the process of capitalistic accumulation.

Both types of firms: Diverging from this extreme polarisation, researchers have unveiled that the informal sector



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could be distinguished between a capitalistic part and a dominant non-capitalistic segment. The few capitalistic informal firms act like micro-capitalists, using hired labour. On the other hand, the majority of the firms mostly depend on household labour, with the absence of capital-labour dichotomy having non-capitalistic production structures (behaves like either need economy or PCP) (Khasnabis and Nag 2001; Kundu and Chakrabarti 2008; Chakrabarti 2016; Raj and Sen 2016; Chakrabarti et al 2016; Bhattacharya 2017; Bhattacharya and Kesar 2018; Mukherjee et al 2019). The predominance of non-capitalist enterprises within the informal sector is highlighted throughout this literature but it does not refute the capitalistic other.

A critique: In all the above-mentioned received positions, it has been found that an informal sector firm is either a site of competition/bargain among a variety of self-interest-seeking agents (owner, manager, input/output supplier, hired labourer, etc) or a site of exploitation by the owners/managers of the hired labour.⁴ However, an important aspect that has not been discussed much in India is the issue of intra-firm collaboration dominating over the pursuit of self-interest (be it within the family or the clan or between the owner and the hired labourer). Sometimes intra-family and intra-clan collaboration have been identified (Banerjee and Munshi 2004; Kundu and Chakrabarti 2008; Nagaraj 2021), but collaboration even between the owner and the hired labourer, both having the objective of survival, has not been discussed much. This issue could be an important area of research.

Market Structure

The received positions: By market structure, we mean the interaction of the informal sector firms among themselves, with the input and output markets, and thereby with the rest of the economy. The literature exhibits varying inter-firm relationships and market linkages for the informal sector.

Some economists view that informal firms can freely interact (among themselves) in the market competitively. By

freely linking with the circuit of global capital, they can reap the benefit of global market expansion and grow (Maiti 2008; Bardhan 2009; Marjit and Kar 2011). The inter-firm competition is the most crucial driver for intra-firm innovations and extra-firm market interactions. Stated otherwise, the intra-firm dynamism and extra-firm endeavours to tap the benefits of global value chains fundamentally arise from cut-throat competition among the firms.

Contrary to this mainstream view, Breman (2013) discusses the processes of surplus extraction through the market from the informal sector firms by the rest of the economy, especially by the profit-mongering formal sector (big capital). These firms (due to intense inter-firm competition) are compelled to supply a variety of inputs, including labour services, to the big capital at cheap rates. A separate group of researchers has revealed that informal sector firms interact with the market mostly through intermediaries.⁵ In this market structure, firms can avoid market volatility and access the global market, which benefits them to some extent (Khasnabis and Nag 2001; Nag 2015). However, in this market structure, the firms also face severe extraction of surplus due to hierarchical relations with the intermediaries and because of other non-market factors, discussed as the social structure of accumulation (SSA) by Harriss-White (2003) such as race, caste, religion, gender, etc (Khasnabis and Nag 2001; Basole and Basu 2011; Basile 2013; Nag 2015; Mukherjee et al 2019; Majeed and Swalehin 2021).

In the context of a postcolonial economy, it is argued that the informal sector has a distinct space outside the circuit of capital. This view has overruled any functional association between the informal sector and the big capital (Sanyal 2007; Sanyal and Bhattacharya 2009).

Another strand of literature first dichotomises the informal sector into capitalistic and non-capitalistic segments (as mentioned earlier) and maps the input-output linkages of these two segments with the rest of the economy. They have explained how the capitalistic informal segment enjoys a benign relationship

with the rest of the economy due to productivity advantages and the pull from other sectors. However, the non-capitalistic informal part faces resource conflict with the formal sector and even with the capitalistic informal segment (Chakrabarti 2013; Bhaduri 2017; Sadhu and Chakrabarti 2021).

Besides, some writings have focused on how community collaboration plays a significant role in determining prices and wages in the informal sector (Kundu and Chakrabarti 2008). The significance of community identity is also discussed in the literature (Banerjee and Munshi 2004).

A critique: In all the above strands of literature, a variety of competitive, exploitative and exclusionary processes have been discussed. In the analysis of inter-firm relationships and a variety of market linkages, especially in the context of India, the role of collaboration is under-researched. Although during the 1980s and 1990s, there were quite a number of studies on the cluster form of development of informal firms (Nadvi and Schmitz 1994; Cawthorne 1995), recently, there seems to be a lack of interest in this regard (Planning Commission 2012). However, given the widespread expansion of the circuits of modern capital threatening the very existence of the informal sector firms, a variety of collaborative arrangements could provide some breathing space. This is especially true in the post-COVID-19 scenario (Kundu et al 2021).

Consequently, inter-firm collaboration (in the context of their participation in the input and output markets) assumes enormous importance, and this should be studied widely and deeply not only as a theoretical exercise but also as a potential policy matter. Studies on firm-firm collaboration (horizontal as well as vertical) could significantly add to the theoretical literature that is overwhelmed by the possibilities of competition-exploitation-exclusion.

Firm Dynamics

The received positions: The mainstream literature considers that informal sector firms are predominantly dynamic, and those which are not will wither

away through competition. Those firms that can survive cut-throat competition through intra- and extra-firm innovations accumulate capital and thereby grow over time. And those which cannot, finally become the labour supplier for the former group of firms. Thus, there is a tortuous process of transition for the informal sector through which it emerges as a capitalistic segment of the macroeconomy (Bardhan 2009; Marjit and Kar 2011).

On the other hand, a group of Marxists, structuralists, and political economy researchers highlight that the informal sector firms are constrained by a variety of hierarchies. While modern capitalist firms are supposed to extract surplus from the informal sector firms through direct and indirect linkages (for example, via subcontracting/open market interaction), a variety of intermediaries, too, play a similar role. Be it big capital or capitalist/non-capitalist intermediaries, a large part of the surplus produced by the informal sector firms is siphoned off. Consequently, the informal sector firms lose their dynamism and get trapped in a vicious cycle of stagnation and persistence (Bremas 2013). Contrarily, a new school of political economy that considers the informal sector as a need economy opines that, as the driving factor of these firms is to satisfy needs, inherently, these firms are stagnant. This stagnation is not necessarily a voluntary choice; it is rather an outcome of a variety of compulsions (Sanyal and Bhattacharya 2009).

There is extensive literature that actually considers the informal sector as a complex economic space where there is a continuous process of churning, and thereby, the simultaneous occurrence of emergence, progression, persistence, and involution of firms (Chakrabarti 2016; Bhattacharya 2017; Bhaduri 2017; Mukherjee et al 2019; Bhattacharya and Kesar 2020). According to this literature, only a section of the firms experiences the transition from non-capitalistic to capitalistic firms (Raj and Sen 2016); a much larger part remains trapped in the cycles of stagnancy, and another section, not quite small, experiences involution.

A critique: In all the above strands of literature, among other factors, the

competitive environment/ability of the firms or the lack of it has been identified as one of the prime factors responsible for the extent of dynamism shown by the firms. The mainstream argues that inter-firm competition could be a prime mover in this context. On the other hand, a variety of heterodox discourses consider hierarchical market relations, and/or intermediary intervention, and lack of free competition as a prime constraint for firm transition.

Although inter-firm collaboration and various collaborative arrangements in the input-output market have been identified as strategies for survival (Kundu and Chakrabarti 2008; Kundu et al 2021), generally, these have not been considered the first best option for firm growth. It is true that, in the past, in the context of analyses of clusters, a variety of collaborative arrangements were identified as essential elements of the survival and growth of clusters (Marshall 1919; Schmitz 1999; Van Dijk and Sverrisson 2003; Nagaraj 2021). However, this emphasis on collaboration as an important driver of firm and sectoral growth is not so dominant in recent times. Inter-firm collaborations are being viewed as a survival strategy for micro-firms but not a very reliable strategy for growth. This apprehension of the orthodox as well as heterodox schools needs to be evaluated carefully.

In Conclusion

While analysing the literature on firm structure, market structure, and firm dynamics, one common feature that we could identify is that intra- and extra-firm competition or lack of it happens to be one of the most crucial issues. Competition has been identified as an essential factor determining the intra-firm allocation of resources and distribution of benefits, inter-firm relationships, market interactions, and firm dynamics. When the heterodox discourse talks about intra-firm exploitation, extraction of surplus through the exertion of market power, and accumulation of capital and firm dynamics, essentially, it tries to understand the pattern of intra- and extra-firm competition (class struggle) among different agents (classes).

Contrary to this emphasis on the competition by both the orthodox and heterodox

discourses, we try to identify the role of intra- and extra-firm collaboration in the context of the organisation of production, the organisation of the market, and the possibilities of firm transition. A large part of the literature misses out on the potential arising from collaboration among different agents and most fundamentally ignores the fact that production and creation of value is ultimately a social phenomenon.⁶ After all, the firm has to operate in a general social environment where it participates in a variety of social processes.⁷ Thus, economic production is shaped by the contemporary social milieu, and it shapes the social dynamics as well. One cannot fully understand the problems and prospects of firms, especially micro-firms, abstracting them from contemporary social dynamics. There is a well-knit social arrangement within which production by micro-firms has to take place, and there is a continuous process of exchange between the economic and socio-cultural spaces. A micro-producer not only produces for personal living and/or self-interest maximisation but also to participate meaningfully in the socio-cultural environment—to live a social life as a social being. Identification of this grand exchange relationship could be an important academic contribution.

NOTES

- 1 Competition is inherent in the neoclassical and also institutional conception of a firm (Alchian and Demsetz 1972; Williamson 1985).
- 2 Control over inputs (labour) through the process of exploitation is the core of the firm structure in Marxian conception (Marglin 1974; Bowles 1985; Phillips 1985).
- 3 See Piore and Sabel (1984) for a discussion on the significance of collaboration in the context of craft-based production.
- 4 Marx (1867: 152–53); or even a site of self-exploitation by the self-employed and/or family-owned firms (Chayanov 1966; Ramanamurthy 2016).
- 5 Intermediaries mainly consist of local traders and/or moneylenders, commonly known as *Mahajan*, other local upper-caste elite, and local state/political party officials.
- 6 This social perspective is clearly identifiable in the following assertion, “All the handicraft trades perform useful services. They provide food, clothing, and other things for daily use. They also produce arts and crafts ... Mind you, don't let our fine handicraft products be discarded. Pockmarked no, not even ten thousand years from now. Anything good and characteristically Chinese that has been discarded must be restored and even improved” (Mao-Tse-tung 1956).
- 7 The importance of social processes in observing the informal sector firms has been discussed by Rancolatto and Willoughby (2017).

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